

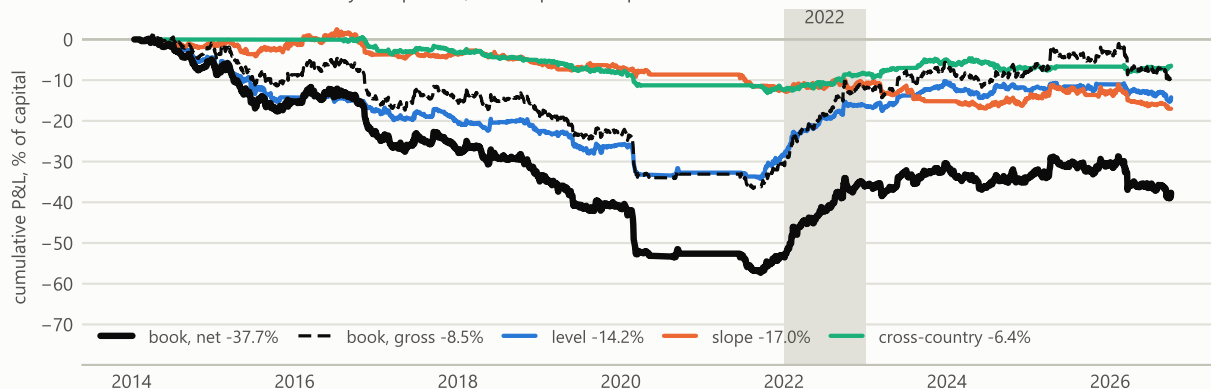
Policy paths against the rules: tear sheet

As of 1 October 2026 · book in USD, counted from Jan 2014 · generated 2026-10-02 by scripts/build_tearsheet.py, nothing typed by hand

Every session, the market's path for each policy rate over the next eight meetings (USD from ZQ and GBP from OIS) is set against the path a balanced-approach rule would take on the macro data public that day, held flat. The gap between the two, z-scored against its own trailing two years, is traded in five sleeves: the fourth-meeting rate in USD and GBP, 2s10s in USD and GBP on the part of the slope gap the level does not explain and the GBP - USD 2y differential. Each sleeve takes a side at $|z| \geq 1$ and drops it at $z = 0$, flat when the policy rate and the rule are both at the lower bound; the book sizes the sides inverse to their vol under one 5% vol target, net of costs.

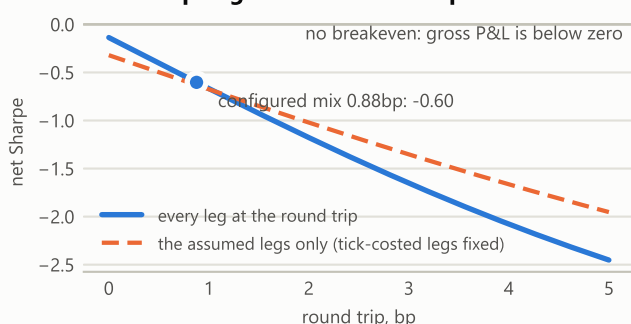
The book nets -0.60 (0.32), -3.19% of capital a year (-0.14 gross); worst drawdown 57%

Cumulative P&L net of costs by component, % of capital. Sharpe SEs in brackets.

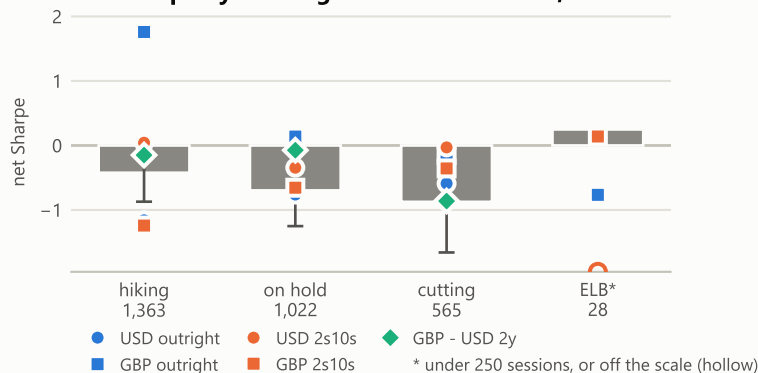


- The level dominates (63% of the gross P&L variance; closer to a duration timer than to relative value): it made +0.05% a year gross, the rest -0.77%.
- Carry and roll cost -2.08% a year and the rate change earned +1.36% (GBP outright +2.46%, the rest -1.10%); not a carry trade (corr -0.15 with the carry-sign book).
- IC(21) of z on the rate change, outside the ELB: USD outright -0.12, GBP outright +0.38, USD 2s10s +0.09, GBP 2s10s +0.04, GBP - USD 2y -0.03.
- Costs 2.47% a year: 19.8 turns of a 284k mean gross DV01 at 0.44bp one way, 46% of it rolls and re-strikes.
- ELB flat (proposed; exclude -0.54, hold -0.68). Ex-2022 -0.98, ex-Dec 2021 to Aug 2023 -1.11; GBP outright, the best sleeve, +0.50, +0.15 and +0.04: one cycle.

Net Sharpe against the round trip assumed



Net Sharpe by USD regime: the book ± 1 SE, and each sleeve



The current signal, 1 October 2026

	as of	z	side	DV01/bp	instrument	edge	CR 91d	E 91d
USD outright	01 Oct	+2.5	receive	+35k	2027-04	+54	+25	+38
GBP outright	01 Oct	+1.7	receive	+27k	2027-03-18/2027-04-29	+78	+29	+35
USD 2s10s	01 Oct	+2.1	receive	+45k	2y vs 10y	+31	+16	+17
GBP 2s10s	01 Oct	+0.0	flat	+0k	2y vs 10y	+0	+10	+3
GBP - USD 2y	01 Oct	+0.7	receive	+29k	2y vs 2y	+25	-4	+1

Edge: the de-measured gap, bp (a proxy for the legs' move on curve and cross sleeves), for the side z points to, as are CR (carry and roll over 91 days, curve frozen) and E (the edge's past closure, CR on the rest). DV01: the book's position, book currency.

Performance, net of costs (Sharpe with its SE)

	gross SR	net SR	a year	vol	worst dd	hit day	hit trade	turns	ex-2022	ex-22-23
book	-0.14	-0.60 (0.32)	-3.19%	5.3%	57%	46%	44%	20	-0.98	-1.11
USD outright	-0.50	-0.88 (0.34)	-2.19%	2.5%	35%	38%	53%	17	-1.09	-1.23
GBP outright	+0.73	+0.50 (0.31)	+0.99%	2.0%	6%	50%	56%	15	+0.15	+0.04
USD 2s10s	+0.01	-0.12 (0.29)	-0.29%	2.5%	9%	46%	44%	11	-0.15	-0.19
GBP 2s10s	-0.36	-0.62 (0.32)	-1.15%	1.8%	14%	48%	30%	8	-0.73	-0.58
GBP - USD 2y	-0.15	-0.27 (0.30)	-0.54%	2.0%	14%	49%	42%	9	-0.48	-0.62

Sleeves: their contribution inside the book, over its sessions. Breakeven round trip: none (gross ≤ 0); configured mix 0.88bp. Ex-2022 and ex-22-23 leave calendar 2022, and Dec 2021 to Aug 2023, out of the P&L, the positions not re-run. Tables: reports/metrics.md and reports/portfolio.md; choices: notes/DECISIONS.md.